

Marvell Technology, Inc.

MRVL NASDAQ

Buy

\$258.86 ▼ 0.78%

12M Price Target
\$310.00

52-Week Range
\$70.69 – \$329.88

Market Cap
\$232.64B

MRVL: 2nm Breakthrough Cements AI Data Center Story

WHAT HAPPENED

- MRVL unveiled a 2nm custom AI chip platform for data centers — this matters because 2nm is the bleeding edge (only TSMC can make it), and it means Marvell is credibly playing in the same sandbox as Broadcom for custom hyperscaler silicon. The stock cooled slightly today (-0.78%) but that's after ripping from \$244 to \$262 over three sessions, so this is a healthy digestion, not a rejection.
- Options desks are screaming bullish — put/call ratio of 0.40 (meaning traders are buying 2.5x more upside bets than downside bets) plus unusual call buying at the \$255 and \$245 October strikes. Someone with real money thinks this goes higher into earnings.

WHY IT MATTERS

The 2nm announcement is bigger than the market is treating it — Marvell is telling hyperscalers "we can build your custom AI chip on the same process node as Nvidia's next gen," which directly threatens Broadcom's near-monopoly on custom silicon (ASICs). If even one more hyperscaler (Meta, Microsoft) signs on beyond the existing Amazon Trainium relationship, the FY27 revenue number I have (\$11.5B) starts looking conservative. The setup here is classic: institutional ownership at 82% means the big money is already in, insiders aren't selling, and options flow is leaning long — that's a coiled spring going into the next earnings print. Watch for analyst price target hikes over the next 5–10 days; that's usually the mechanism that unlocks the next leg.

POLICY & POLITICAL WATCH

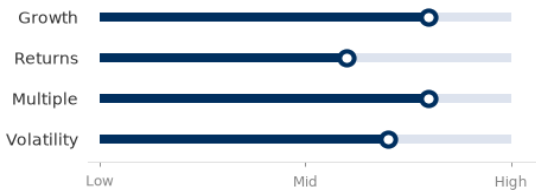
The CHIPS Act extension and expansion is the single biggest policy tailwind — the Trump administration has kept the semiconductor manufacturing incentives largely intact and layered on tighter China export controls, which effectively forces hyperscalers to buy US-designed silicon (Marvell's exact business). Watch the ongoing Commerce Department review of AI chip export licenses expected this fall — any tightening on China shipments hurts near-term revenue (~15% of Marvell's sales), but simultaneously makes their US hyperscaler business more strategically valuable. Also on the radar: the proposed "Secure AI Infrastructure Act" being kicked around in the Senate, which would mandate federally-funded AI datacenters use domestically-designed chips — that's a direct Marvell tailwind if it moves.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$258.86
12M Price Target	\$310.00
Upside / (Downside)	+19.8%
Market Cap	\$232.64B
FY2026E Revenue	\$8,200M
FY2027E Revenue	\$11,500M
FY2026E EPS	\$2.15
FY2027E EPS	\$3.40
Fwd P/E	76.1x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$285.00	\$265.00	\$235.00
6 Months	\$340.00	\$290.00	\$210.00
1 Year	\$380.00	\$310.00	\$195.00
2 Years	\$475.00	\$360.00	\$180.00
5 Years	\$700.00	\$500.00	\$200.00
10 Years	\$1200.00	\$800.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+1.25% today) — hyperscalers like Google and Meta are driving this, and their capex plans are exactly what feeds Marvell. Semis broadly remain in favor as the administration's industrial policy keeps supporting domestic chip design.

COOLING OFF: Financials (-0.18%, -2.23% for the week) — the market is pricing in rate cuts and softer credit conditions, which is money looking for growth to hide in (that's helpful for MRVL).

ROTATION WATCH: Capital is rotating out of defensives and rate-sensitive names into AI infrastructure — Marvell is a direct beneficiary. This rotation typically runs 3–6 weeks before it exhausts.

RELATED PLAY: If Marvell's 2nm story works, the picks-and-shovels play is TSMC (TSM) — they make the chips Marvell designs. Also worth a look: data center power infrastructure names like Vertiv (VRT) that benefit no matter which chip designer wins.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Still the king of custom AI silicon — running because of Google TPU and Meta MTIA deals. Sets the template Marvell is trying to copy.
- AMD (Advanced Micro Devices): Up 187% YTD on GPU market share gains against Nvidia — showing the market rewards credible #2 players in AI silicon (which is exactly Marvell's setup vs Broadcom).

MRVL CONTEXT: Marvell is at 78% of its 52-week range, catching up to peers after lagging earlier in the year. The 2nm announcement puts it back in the conversation as a Tier 1 AI beneficiary — this looks like the early innings of a re-rating higher, not the end of one.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$240-250 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Loss of Amazon Trainium custom silicon contract or hyperscaler capex cut >15%

Hedging: Pair with short position in a richer-multiple AI name like AVGO or a small SOXX put spread